

It is easy for many of us to agree with Harder's observation that US Dollar and Indian Rupee, which have no backing of any kind, have been created by the two governments to suit their economic needs. It is very important in case of US Dollar since it is a global currency, and huge amount of black money and drug money globally is in US Dollar bills.

There are several books written on US Federal Reserve System that

only through a value-added economy. Wealth is created at every stage of converting raw materials to the finished product. A piece of steel turned and milled into a machine part hugely grows in its value depending on the design, precision, skill needed and process complexity.

Real new wealth is also created in agriculture when farmers create the most important wealth in the form of food grains, vegetables, fruits and the like. The inputs are

death. It is often said that Dr Singh was obliged to follow the directives of global financial institutions such as The World Bank and International Monetary Fund, because the country was on the brink of economic crisis. However, he has been given the credit for it ever since, and he accepts it by being silent.

Indian manufacturing, which was then firmly and severely controlled by License Permit Raj, was already weak and producing poor-quality goods. Large manufacturing businesses were largely in the hands of traders and not technologists or engineers. Both innovation and quality were simply being ignored. Progressively-deteriorating quality of Indian cars of those times are some examples. These monopolies were in every sense government-sponsored. I have seen many of these businessmen spending more time lobbying and partying in New Delhi than be on their shop floors. They managed to protect their big industries from local and foreign competition in connivance with ministers and government bureaucrats.

Most SMEs were, however, owned by technical or professional entrepreneurs, but their hands were tied due to corrupt Inspector Raj, artificial shortages created by hoarders and high cost of materials due to astronomically high import tariffs. Support infrastructure, essential for industrial efficiency, was in a very poor state, to say the least.

Then one fine day, Narsimha Rao government made a complete about-turn on the advice of his finance minister, Dr Manmohan Singh, and industrial licensing was abandoned in one stroke. Import of all types of goods was allowed freely and import tariffs were reduced to a fraction. Almost overnight, domestic manufacturing industry and SMEs were incapacitated and recklessly sacrificed without a second thought.

I know it first-hand since I have a strong SME of my own, which

have established various related facts in great detail. The truth is that, the wealth created by printing money is virtual, since it is created from nothing. Harder says, "Nobody really knows for certain what Note means."

The 1855 Statement attributed to US President Abraham Lincoln highlights the truth about creating wealth within the country. He said, "When we import foreign goods like rails for our railroads from the UK, we get the goods and the UK gets our money. However, when we make those rails within the country, our country gets the rails, our people get the jobs to make these and our money remains within the country."

Countries can make real wealth

seeds, soil, water and a lot of hard work by our farmers.

Wealth creation by the service industry is like one in a Poker game where people come with money and in the end someone clever and rich takes it all away. Money, however, remains the same. That is how, in a service economy, the rich become richer at the cost of the rest.

Where India got it all wrong

It is now 25 years since former Indian Prime Minister Dr Manmohan Singh, while he was Finance Minister, embraced the so-called service economy, shifting the country's focus away from the traditional value-added economy. Since then the Indian manufacturing industry has suffered a slow and painful

